AVOID THESE STUPID MONEY MISTAKES

Who doesn't make a bad financial decision sometimes? Rather than rue it, learning from the experience can leave you wiser and richer. Here are a few common financial mistakes to look out for

By Narayan Krishnamurthy

Managing money isn't easy. Education up to graduation rarely focuses on this essential life skill. Often, what one gathers is from parents, siblings and friends who may have unknowingly committed mistakes in their financial decisions. Moreover, easy credit, mixed voices, conflicting advice on finance from various sources and financial jargon prove to be the other challenges. It is easy to commit financial mistakes, especially when one has so many things to juggle around and distract us.

Naturally, mistakes related to money happen all the time and you are not alone if you have any financial regrets of your own. Regardless of your age or life stage or current financial position, understanding money-related mistakes and how you can avoid them can help you get back on the path to financial independence. But, knowing where to start can be a challenge and often it takes several mistakes before one realises the error of their financial ways by which time the negative consequences have already had their effect.

Often, financial advice sounds simple. Save more, spend less, be adequately insured, have a financial plan and invest right are some of the phrases that make it all sound easy. However, it can be challenging to keep up and more difficult to figure out which of this advice is worth following. Money mistakes are arguably subjective. For instance, a car loan is expensive, but you need the car to commute to work, which in turn enhances your work profile. It is tempting to bury our heads in the sand when it comes to our financial life, which could have some financially catastrophic outcomes.

There is nothing wrong with making a mistake, even when it comes to your finances. However, it becomes a problem if you keep committing the same mistakes over and over again, without realising it. Learning from these common money mistakes can prevent headaches and position you for a solid financial future.

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Most mistakes are avoidable, at least in hindsight. Mistakes happen at a young age as much as they happen when you are old, they happen when you are employed or after you retire. Remember, when it comes to personal finance, they are personal to you and a one-size-fits-all approach is a disaster in the making. To help you come to grips with your finances, we have looked at the 35 most common mistakes people make and what you can learn from them and apply to your life. The list is not comprehensive and there are many other unique mistakes that one may make. What is important is to arm yourself with knowledge and be on the lookout to avoid these mistakes. ■

Illustrations by SIDDHANT JUMDE